

HOW IT WORKS: CREDIT SCORES AND BORROWING MONEY

Zaria, Vivienne, and Paige are all 30 years old. They each have a credit card, student debt, and an auto loan. Because they are only 30, their lines of credit are not very old, which means that any mistake on their credit histories will have more of an impact than if they were 60 years old with long credit histories. Each of them is doing well financially and is getting ready to buy a used car. To do so, each needs to get money from a lender, who will determine borrowing rates based on credit history. While there are other factors that influence borrowing rates, like salary and how much money you have for a down payment, let's assume they all have the same salary and will all make the same down payment.

Zaria's credit report shows she regularly misses payments and has bills that haven't been paid in months, which has pushed her credit score down to 580. Vivienne has only missed a few payments, but because her credit score is still relatively young, it has been knocked down to 640. Paige has never missed a payment and has a score of 780. Table 5.1 highlights how their credit histories are going to affect the amount of interest each will have to pay. This example assumes each of them will borrow \$20,000 and plan to pay off the loan in 60 months (five years).

Table 5.1. How credit score affects the cost of borrowing money

Borrower	Amount Borrowed	Credit Score	APR	Interest Paid	Total Paid
Zaria	\$20,000	580	16.14%	\$9,266	\$29,266
Vivienne	\$20,000	640	10.34%	\$5,703	\$25,703
Paige	\$20,000	780	4.34%	\$2,287	\$22,287